



LYNDA APPLGATE
LISA C. MAZZANTI

Dhamani Jewels: Becoming a Global Luxury Brand

Over the years, our business has grown through a few big inflection points. We are always looking ahead at what is changing in our industry and inside our organization. When we recognize an opportunity to make a major change, we begin by experimenting and building the foundation that will be needed to take the next big step forward. For example, having started in 1969 as a traveling salesperson selling loose cut emeralds sourced from our hometown in Jaipur, India, my father expanded the business in the early 1990s to enable his three sons to play an increasingly more active role. More recently, we reached the next inflection point when we opened our first retail store in Dubai in 2000. We believe we are at another inflection point and have begun putting in the foundation to become a global luxury brand.

— Amit Dhamani, CEO, Dhamani Jewels, 2014

Traversing the luxurious Dubai Mall in summer 2014, passing the façades of jewelry houses such as Cartier, Amit Dhamani (OPM '39), CEO of Dhamani Jewels, reached a covered storefront and unlocked the door to a 1,700-square-foot space in shambles. Ladders, wires, and concrete were strewn about the room where Dhamani's flagship high-end "mall store" had been located since 2008—when the Dubai Mall had first opened. Within two months Dhamani 1969 would emerge as an even higher-end new concept store.

Dhamani's executive team, made up of Amit, his father and mother, two brothers, and all three brothers' wives (see **Exhibit 1** for a 2014 organizational chart), saw the redesign as the foundation of a new branding strategy to put Dhamani Jewels on the fast-track to becoming an iconic global jewelry brand. But the company had many issues to resolve before accomplishing their vision. Iconic, high-end luxury jewelry brands, such as Bulgari and Cartier, had long-standing track records dating back to the 1800s in Europe. Conversely, Dhamani Jewels started as a loose gemstone dealer in India in 1969 and opened its first retail store in 2000 in a traditional Dubai *souk*.^a But, with the opening of its jewelry stores in Dubai's high-end malls, the family had been building their luxury brand status in Dubai as the only local jeweler to be granted retail space right next to iconic jewelry brands in Dubai's prestigious Dubai Mall. In addition, Dhamani Jewels had competed with these iconic global jewelry brands and won the exclusive license to sell both loose stones and jewelry with the coveted Dubai Cut Diamond.

^a The Arabic word *souk* or *souq* meant "market" or "bazaar," an informal marketplace with few price tags and much haggling.

Professor Lynda Applegate and Case Researcher Lisa C. Mazzanti (Case Research & Writing Group) prepared this case. It was reviewed and approved before publication by a company designate. Funding for the development of this case was provided by Harvard Business School and not by the company. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

Copyright © 2014, 2015, 2016 President and Fellows of Harvard College. To order copies or request permission to reproduce materials, call 1-800-545-7685, write Harvard Business School Publishing, Boston, MA 02163, or go to www.hbsp.harvard.edu. This publication may not be digitized, photocopied, or otherwise reproduced, posted, or transmitted, without the permission of Harvard Business School.

As Amit surveyed the soon-to-be opened Dhamani 1969 store, he wondered what the market's reception to the new Dhamani concept and brand identity would be. Would it be strong enough to enable the family to immediately open retail stores in Western luxury brand markets like London? Or should he begin by expanding the Dhamani 1969 brand regionally in the Middle East and then enter Western luxury markets? Was the family's vision of elevating the brand to that of a global, top-tier jeweler in the next 10 years both feasible and desirable? How would this decision affect the future of the Dhamani's family business? For example, the family had begun to open Dhamani retail stores in high-end hotels and resorts as a feeder to the new Dhamani 1969 store. These hotel/resort stores were not forecast to be as profitable as the Dhamani 1969 store but were seen as important to making luxury clients visiting Dubai aware of the Dhamani brand. Should the family continue to invest in the high-end hotel/resort stores in Dubai? While they were not planning on opening hotel/resort stores outside of Dubai, they wondered if they should revisit this decision. In addition, the Dhamani family was considering closing its original retail stores in Dubai's souks to concentrate on its mall, hotel/resort, and Dhamani 1969 branded stores. Finally, the family had enough capital to finance the launch of Dhamani 1969 in Dubai and its planned Dhamani 1969 store in Qatar but were considering bringing in an equity investor once the Dhamani 1969 concept was proven and a decision was made to continue with future global expansion. What changes in their closely held family business would be necessary once ownership expanded beyond the family? Even as they contemplated the decisions that still needed to be made, they looked back with pride on all the family had accomplished and looked forward with excitement to all they hoped to accomplish in the future.

Early Beginnings

Jaipur, India, where Dhamani Jewels was founded, was known for talented craftsmen since ruler Sawai Jai Singh II, an art enthusiast, attracted them in the 18th century.¹ Because of the ruler's tastes, many artisans began to specialize in cutting and polishing emeralds, a brittle gemstone that took special mastery to cut into the highest-quality emeralds.² In 1969, Amit's father, L.N. Dhamani, a Jaipur native, decided to take advantage of the local expertise. He bought rough emeralds on the open market, imported from countries such as Zambia and Brazil, and then cut, polished, and sold the loose gems—initially in local markets. (See **Exhibit 2** for the supply chain in 2014.)

L.N. traveled the region and sold the gems to retailers, wholesalers, and traders. In the late 1970s, with competition growing and facing increasing pressure from the oil crisis of 1979,^b L.N. looked beyond India to distant foreign markets in the United States and Europe. With no business leads, he sent introductory messages via telex^c to foreign traders and wholesalers and began receiving positive responses. In 1980, he began traveling to the U.S., Europe, Japan, and China. By 1983, he had opened export offices in Los Angeles, London, and Hong Kong. However, L.N. soon realized he needed more control over both the teams staffing those offices and their handling of the valuable inventory and, in 1985, he closed the three branches and returned to his role as the company's sole salesperson. "Until my sons join the business," L.N. explained, "my business model will be that of a traveling salesman."

To prepare his three sons for the family business, L.N. and his wife, Pushpa, saw to it that their sons were educated in convent schools in India. It was an uncommon choice for their community. "My father believed that moral values have to be sown early and that you have to foster it in your

^b The Oil Crisis of 1979 stemmed from the Iranian Revolution and was followed by a global recession and inflation. (Source: "Counting the Cost," *The Economist*, August 25, 2005, <http://www.economist.com/node/4321834>, accessed April 2014.)

^c Telex was a system to send messages over long distances by using a telephone system and a special machine (called a teletypewriter) to print the messages.

DNA,” Amit explained. “My mother, Pushpa, always said that you have to know that God is always watching and to do good deeds. These family values became the foundation of the family’s business values of never selling a substandard product and building our business based on the utmost trust of our clients.”

When the eldest son, Amit, graduated from college in India in 1990, his father was traveling over half of the year selling loose cut emeralds to jewelry wholesalers, retailers, and traders. “My father developed fantastic relationships with his clients. He’s very jovial and honest, and he was helping his clients make money,” said Amit. Before joining the family business, Amit’s father took him on a world tour with stops in Italy, the U.S., and Thailand to meet clients and scout a location to open another office. Amit recalled, “Our clients were happy that my joining could ensure more frequent sales visits from Dhamani. They said they didn’t get to see us enough.”

Amit and his father soon agreed that the company should expand its product line beyond emeralds and decided to open an office in Bangkok, Thailand, which provided better access to sourcing colored gemstones from local mines. Amit said, “Buyers often went to Bangkok for rubies and sapphires and to Jaipur for emeralds. After we opened our new office in Bangkok, we could give them all three.” Other emerald dealers moved into Bangkok and “competition came from all sides,” declared Amit. “Everyone was trying to expand into new markets. Indian and Thai dealers were also moving to Hong Kong.”

By the mid-1990s the company evolved again as its loose gemstone customers asked Dhamani to expand its product line to manufacture jewelry for them. In 1993, Rohit Dhamani, L.N. and Pushpa’s second son, joined the Bangkok office and helped establish and run the jewelry-manufacturing arm of Dhamani. Wholesalers and retailers provided jewelry designs, and Dhamani manufactured the jewelry in Thailand, Hong Kong, and Italy and shipped them to their business customers. The company also began producing private-label jewelry for individual clients in Europe and other global markets. “At that time, we were getting closer to the consumer and could get a better pulse on trends in the industry, which was tremendously useful,” said Rohit.

The youngest son, Manish, joined the firm after graduating from college in 1996. Manish managed sales, initially covering northern Thailand, and then traveling to jewelry shows in Hong Kong, Malaysia, Singapore, and Taiwan to exhibit gemstones to businesses and private clients.

The Second Generation Joins the Business

In the 1990s, the company was growing quickly, and L.N. and his sons were frequently on the road. “They were traveling so much,” recalled Pushpa. “One day one son would come back from a trip with a suitcase of goods that he had exhibited; the next day another would take the suitcase to exhibit somewhere else.” Amit added, “It was a really exciting and fun time. While we traveled a lot, it brought our whole family together since now we were all working on the business.”

L.N. was pleased that his sons were busy but noticed a lack of focus on their personal lives. “Around 1995, my father inquired whether I would marry,” Amit explained. “With so much work, I hadn’t thought of it. I told him I had no one in mind, so he offered to arrange it.” By then, L.N. said, many families had inquired about his sons’ plans to wed. Amit continued, “The proposal came from my wife, Nupur’s, family, who lived 10 hours from our hometown.” Nupur’s family had a business with a similar structure of brothers, so L.N. thought she would be a good match. L.N. advised Nupur’s parents that he “sought someone to work shoulder to shoulder with me,” Amit explained. “When I traveled, she could help manage the business at home. I went to meet Nupur, and I was

awestruck.” The two married shortly after, and Nupur moved from India to Bangkok to join the business.

The brothers admired Amit and Nupur’s marriage. “We trusted our father to do the same for us,” said Rohit and Manish. Rohit married Preeti in 1997, and Manish married Priya in 2000. All three wives took courses in gemology and diamonds to learn about the industry “so that they could join the family business,” said L.N. and Pushpa. Preeti took courses in Thailand to learn to read and write in Thai, the first in the family to do so. Each wife took a directorship position alongside her husband as Pushpa had done with her husband, L.N. Nupur became involved in financial and control responsibilities, such as accounting and payroll. Preeti took responsibilities in manufacturing and production, and Priya eventually took on the role of marketing and brand management (see **Exhibit 1**).

Expanding the Product Line

For some time, clients had been requesting that Dhamani supply diamonds in addition to colored gemstones. The same year Manish joined the business, he struck a deal procuring diamonds from cutting centers in Belgium, India, and Russia. Such relationships did not happen overnight. Manish explained: “While trust takes time and is based on your reputation in different markets, we were able to build on and leverage the relationships my father built.” Rohit added, “We were attractive to diamond cutters because we were order-driven, dependable, and looked for a consistent category of diamonds. This enabled us to expand beyond colored gemstones to diamonds and to expand into new markets.”

While Dhamani procured rough emeralds, rubies, and sapphires that were then cut and polished in-house, the company purchased pre-cut and polished diamonds and thus controlled less of the diamond supply chain. But Amit explained that “selling diamonds was game-changing. A client who might buy \$100,000 worth of emeralds, rubies, or sapphires would buy \$1 million worth of diamonds. When diamonds came into the picture, our volume and turnover changed drastically.”

To create customer confidence, Dhamani certified every diamond and gemstone it sold through third-party labs. Diamonds and gemstones were graded on a continuum, and the Gemological Institute of America (GIA) had developed global standards specifically for diamonds based on “the four C’s”: cut, clarity, color, and carat weight. Diamond grading was more standardized than grading for colored gemstones; as the GIA stated, “Unlike GIA’s diamond grading system, no one grading system [for colored stones] has been embraced by the trade.”³ Rohit commented, “Given that we had a strong reputation with colored stones where there was a lack of standards, clients figured they could also trust us with diamonds. Every piece we sell, we give a certificate.”

Expanding to Dubai

When the Far East crisis^d hit Thailand in 1997, the Dhamani family sought new ways to sustain growth. Since Amit’s brothers were already working in Bangkok, L.N. suggested that Amit open another office to access other markets. “Dubai appealed to us because of the business-friendly environment, its geographic location, and its tax-free and duty-free benefits,” declared Amit.

In 1998, Amit and Nupur relocated to Dubai to open a Dhamani office and moved to an apartment above their offices. “In those days, it was convenient to live and work in the same place. While Amit was traveling, I could take care of the customers more easily just downstairs,” said Nupur. Amit

^d In July 1997, the Thai bhat collapsed, taking down the Thai and regional economies.

recalled: “We were among the first loose diamond and gemstone companies in Dubai, and there was no jewelry manufacturing in the area back then.” Dhamani used Dubai as a platform to access the region and sell to consumers from Lebanon, Saudi Arabia, Turkey, Russia, Bahrain, and Kuwait. “We were a one-hour flight from many of these markets,” he said. (See **Exhibit 3** for maps of the region.)

Rohit and Manish remained in Bangkok to focus on sales to the wholesale market in Asia. The two covered Malaysia, Hong Kong, and Singapore. “While we were expanding in the Gulf,” Amit explained, “my brothers traveled to ensure we were capturing whatever we could get during the crisis in Southeast Asia. My father’s traveling salesman mentality came through. He taught us to comb a market and understand where potential clients might be and where to spend our time.”

The company continued to participate in industry exhibitions around the world. “While everyone else was exhibiting jewelry, we were still exhibiting loose stones,” said Amit. At exhibitions, the brothers began bypassing traders and sold directly to consumers to achieve higher margins. “Even though a lot of traders stopped doing business during the Asia crisis, consumers were still spending money on jewelry, and we began capturing more of those sales,” said Manish.

Launching a Retail Business

When Dhamani entered Dubai, the emirate was on the cusp of explosive growth. The Burj Al Arab, the landmark sail-shaped and “world’s only seven-star hotel” opened in 1999,⁴ and luxury and tourism were becoming synonymous with Dubai. In 2001, jewelry in Dubai was 73% less than European markets and 25% less than neighboring Persian Gulf markets, so many of the high-end tourists bought gold and jewelry in Dubai.⁵ An industry observer noted that the demand for gold in Dubai persisted and, by 2014, “[95%] of tourists bought gold in Dubai.”⁶

By the end of 2000, as Amit and Nupur were settling into Dubai, the country was attracting over 2.5 million tourists annually, and that number was growing by 10%–15% per year.⁷ Dubai visitors were high-potential clients since they would make their purchases and report back to their home countries, perpetuating word-of-mouth marketing. During this time, L.N. and his sons saw an opportunity to enter into retail. However, since Dhamani was supplying gemstones and private-label jewelry to retailers already, the family wondered how to move down the supply chain without directly competing with its clients. Amit recalled, “There was a lot of internal deliberation about what message we were sending our wholesale clients, but my father was very clear.” L.N. said at the time, “I’ve seen this business grow and become saturated at every level. The way things are going in the industry, the time is now to test our ability to be a retailer and continue our vertical integration.”

In late 2000, Dhamani also opened its first retail store in Dubai’s Gold Souk, a bustling 100-year-old commercial area packed with shops on narrow streets and famous for shopkeepers who haggled with customers.⁸ The store stocked Dhamani-manufactured jewelry and carried no other brands, so the family could be sure of the source of each piece and could tightly control its reputation.

Shortly after opening the souk store, a client visited looking for a seven-carat emerald—worth about \$100,000 at the time. Although the store did not have the gemstone on hand, Dhamani was able to source the emerald from its wholesale operations and work with the customer on the design, and then it manufactured the jewelry. “Serving that one client was the moment that it all came together for us,” noted Amit. “We sold that piece and made a much higher profit than what we could have made in any of our other lines of business.” Amit felt that Dhamani had a 25%–30% edge on price as compared to retailers who had to purchase loose stones and jewelry. “As we took on more of the supply chain, we could retain more of the margin, while also offering our clients a better price,” said

Amit. “In addition, we had direct control over the quality of every piece we sold and could provide certifications to every client—thus increasing our reputation for quality.”

Since Dhamani was new to retail, the family considered how to use its position as a trusted supplier as a point of differentiation. In 2003, Dhamani worked with the Dubai government to support development of a certification for Dubai jewelers. “It was the same idea as ISO^e and the perfect fit for us, because for every piece we sell, we have a chain of warrantees. We know where it’s mined, where it’s cut, where it’s polished, who set it, what the purity of gold is,” said Amit. “The government wanted Dubai to be synonymous with comfort and peace of mind for the customer. They created the Bareeq Certification for Jewelers, and we became the first to receive it.”

In 2004, Dhamani opened two 300-square-foot stores in the Dubai Gold Souk, one 500-square-foot store at the tourist-targeted Gold & Diamond Park (GDP), and one 1,000-square-foot store on Dubai’s busy Al Maktoum Street within the heart of downtown (see **Exhibit 4** for pictures of Dhamani stores). The store on Al Maktoum Street gave the Dhamani brand the ability to prove itself outside of the souks, and the space at the GDP offered clients the ability to work with designers and then manufacture jewelry onsite to fulfill custom orders.

By 2005, Dhamani was able to leverage its brand to open its first mall store, an 800-square-foot space in the newly opened Mall of the Emirates (MOE), a lavish shopping center with over 500 tenants and a year-round indoor ski resort in the middle of the desert. “Before, when we tried to lease space in the malls and they saw our other stores were in the souk, they said we weren’t a good fit. But once we opened a store on Al Maktoum Street, we were able to prove the quality of our brand and get into the malls,” Amit remarked. The MOE was the third-largest mall in the world and the largest outside of North America at 2.4 million square feet.⁹ The same year, the Dhamani family made Dubai its corporate headquarters and began servicing many of their wholesale clients remotely.

The Dubai retail context was rapidly changing with the emergence of high-end malls. One industry observer noted that in 2005 “anyone who is anyone would have a shop on Al Maktoum Street.” But once the malls started opening they eclipsed downtown Dubai for high-end retail.¹⁰ In 2009, Dhamani closed its Al Maktoum store to focus on higher-end locations in mega-malls.

In 2009, Rohit took over Manish’s exhibition duties, which freed Manish to step into a new role of focusing on retail. Manish’s first step was to forge new retail procurement relationships. “I began by traveling to exhibitions in Las Vegas, Basel, and Vicenza—not as an exhibitor, but to meet exhibitors that sold to the big jewelry brands. I wanted to be able to keep up with the product lines of Bulgari, Cartier, and Tiffany’s,” recounted Manish. He added, “It’s great what we’re doing for our Middle East customers as far as selection, but knowing the high-end global markets gives us a pulse on the more creative designs so that we can appeal to our high-end global tourists.”

The real estate market crash in Dubai during 2008 and 2009 caused Dhamani to re-evaluate its client profiles. “A large part of our original retail client base had been real estate moguls. But when those clients stopped buying luxury goods in 2009, we realized we needed to focus more on tourists.” In fact, tourists continued to visit Dubai throughout the recession: in 2008, the number of hotel guests in Dubai had grown 8.3% year-over-year and, in 2009, hotel guests rose another 0.7% to nearly 7.6 million hotel guests.¹¹ “Those traveling to Dubai for business and tourism were still shopping at the malls,” said Amit. Manish added, “Plus Dubai isn’t a place where people come once in a lifetime. Many people are coming once or twice a year.”

^e The International Organization for Standardization.

Although tourism spending had declined by 7%,¹² foot traffic was still strong at Dubai's high-end malls, such as MOE and Dubai Mall.¹³ MOE posted roughly 24 million visitors in 2008,¹⁴ and although sales dropped by 24% in 2009, the number of visitors remained relatively stable.¹⁵ In 2009, Dubai Mall's first full year of operation, an estimated 37 million people visited the shopping center,¹⁶ roughly 21 times Dubai's 2009 population.¹⁷ By the end of 2009, Dubai had the "highest per capita shopping space" in the world.¹⁸ It tied London as the city with the most retail brands present.¹⁹

Rent at high-end malls was \$167 per square foot in 2009.²⁰ New mall developments, however, were driving rent down. *The National* reported in 2009 that "Dubai is one the cheapest destinations in the world for retailers—despite having the highest number of international brands of any city."²¹ In comparison, Fifth Avenue in New York City and premium locations in Hong Kong supported rental rates between \$1,000 and \$2,000 per square foot.²² And still more malls in Dubai were opening. In 2010, Majid Al Futtaim Properties, the developer of MOE, opened the Mirdiff City Centre, an upscale mall with 460 stores and over 19 million annual visitors. Dhamani seized the opportunity to negotiate a lease for another high-end mall store in Mirdiff City Center and opened its third mall location along with the mall's grand opening.²³

Polishing the Brand

Even as Dhamani was opening more retail stores in Dubai's most prestigious locations, Amit felt the company lacked a strong brand identity: "During the first five years of retail, we were struggling to identify how we could differentiate ourselves from the other high-end jewelry brands—all of whom were moving into Dubai. We needed a catalyst to transform the brand so we could say, 'We are not like the others.'" In 2006, an opportunity presented itself. The Dubai Multi and Commodities Centre Authority (DMCC), which had been established in 2002 to promote trade in Dubai, partnered with the Russian government to create a new diamond cut that would be mined, cut, and polished in Russia but sold exclusively in Dubai. Called the Dubai Cut Diamond, it was the "world's first diamond cut inspired by and named after a city." While diamonds traditionally had 56 facets, the Dubai Cut Diamond had 99 facets, representing the 99 holy names of Allah.²⁴

DMCC developed a request for proposals asking jewelers in Dubai to describe what they would do with the Dubai Cut license if they were to win the bid to become the exclusive retailer for the Dubai Cut Diamond. The family knew its presentation would have to be a game changer for Dhamani and submitted a proposal for a Dubai Cut Diamond jewelry design based on the letter "D." (See **Exhibit 5** for an example of the Dubai Cut Diamond and other Dhamani jewelry designs.) "Dubai, DMCC, Dhamani, diamond, it all starts with the letter 'D,'" Amit explained. Rohit added, "Many of the other brands described how the Dubai Cut Diamond would fit into their individual brands, but we took a fresh approach and submitted a plan to really make the Dubai Cut Diamond a prominent feature of the Dhamani and Dubai brands." In 2006, the DMCC announced Dhamani as the sole license holder with exclusive rights to sell the Dubai Cut Diamond. "Everyone was surprised that such a young brand was awarded the license. Some people even went to talk to the DMCC to ask about resubmitting, but the DMCC stood with us," said Amit.

The Dhamani family also began to deepen their understanding of the high-end jewelry market. Branded jewelry sold at a premium to unbranded jewelry even though the gems were cut to the same specifications. "This business is about emotions. No one *needs* gemstones," said L.N. A Bain & Company report explained: "A diamond engagement ring by Cartier may enjoy up to a 40 percent premium over an unbranded ring with a stone of identical size and quality."²⁵ Interbrand, a brand consultancy, published a study in 2008 of the leading luxury brands, with France-based Cartier in the

sixth spot (with a brand value of \$4.2 billion), U.S.-based Tiffany & Co. in seventh (\$4.2 billion), and Italy-based Bulgari in tenth (\$3.3 billion) (see **Exhibit 6**). The characteristics identified among leading luxury brands by Interbrand were authenticity and commitment to high quality, iconic status that did not lend itself to substitutes, and global sales in core markets with 30% or more of revenues from countries outside of the brand's origin country.²⁶

The report stated that iconic global brands were developed over the long term: "Louis Vuitton, Burberry, Bulgari, and Cartier did not just appear out of thin air. They began more than 150 years ago and took years to build, only achieving iconic status over time."²⁷ The study also noted that today's investors shied away from investing in new ventures that were attempting to build luxury brands.²⁸ Amit agreed that it took long-term thinking to build a luxury brand and added, "We have great respect for all the jewelry brands that have made it to the top in 100 or 200 years, and they fully deserve their success."

Though the jewelers in the top 10 global luxury brands were all based in either the U.S. or Europe, jewelers from other regions were gaining ground. South Africa-based diamond house De Beers entered the retail segment in 2001 through a joint venture with French conglomerate Louis Vuitton Moët Hennessy (LVMH).²⁹ Its first store opened in London, and by 2008 the company had 26 stores across Europe, Asia, the U.S., and the Middle East.³⁰

Though Dubai had long been a global trading hub for gold (in 2008 total trade value was roughly \$29 billion with exportation to 64 countries),³¹ it was also making a name for itself in the global diamond industry. The *Financial Times* reported, "Between 2008 and 2009, the emirate's total diamond trade rose 22 per cent, amounting to 182m carats . . ."³² The executive director of De Beers told the same newspaper, "Dubai has done a good job of creating a fiscal and regulatory environment that attracts industries and investment: be it telecommunications, media or diamonds."³³

Building Dhamani's High-End Brand

The Dhamani family felt that the license award for the Dubai Cut Diamond was an opportunity to springboard their brand to the next level. "The Dubai Cut Diamond was presented as a special gift to visiting high-ranking officials, so these high-net-worth individuals were getting more familiar with our brand," noted Rohit. "We couldn't let this unique opportunity go to waste," said Amit. As the family deliberated the best approach, Amit began researching high-end jewelers and how they implemented brand strategies. "You could go out and hire big-name advertisers and marketers who can just take your money and do an ad campaign," Amit explained. "But we wanted our relationship with a brand strategist to be deeper than that."

In Amit's research, he encountered a retail brand strategy firm called FITCH, which had worked with mega-brands like Microsoft and PepsiCo. "Imagine this small jeweler from the Middle East souks who just opened their first mall stores approaching these people!" Amit remarked. He felt that even though hiring a top-notch brand strategist would cost millions of dollars, it was cheaper than the family embarking on such a significant investment through trial and error. "At first, it was hard to convince the family to hire FITCH. Everyone was equally committed to growing the brand, but such a considerable use of family resources raised a lot of questions," Amit said. Recalling a family business class he had while attending the Owner President Management (OPM) program at Harvard Business School,^f he engaged the family in surfacing and debating their assumptions. "You have to

^f The Owner/President Management program is HBS's comprehensive leadership program during which business owners and entrepreneurs attend classes on campus each year for three weeks at a time for three years. Graduates, like Amit Dhamani (OPM '39), become HBS alumni.

have open discussion within the family,” the professor had cautioned. “Then, when you move forward the family must be aligned that the decision is good for the business *and* the family *and* all of its stakeholders, not just for one person.” After much debate, the Dhamani family agreed that brand guidance was needed and signed with FITCH. The FITCH team saw the company offices—above the original souk store—and “was amazed to see a young jewelry company with such big aspirations,” recalled Amit. “But they saw our passion and bought into our vision to transform the company. In addition to having buy-in of the family, it was also critical to have the buy-in from our consultants and for them to agree that what we wanted to achieve is possible.” He added:

We went through a lot of brainstorming sessions with FITCH and came out of those knowing we wanted to be considered a global luxury brand within the same segment as Cartier, Bulgari, Graff, Chopard, and others. We knew that with all of my father’s years of experience we could become a global retail brand. But we’re trying to see whether we can take the fast track to become a global iconic luxury brand. To do this, we knew we would need the help of first-class consultants and outside resources.

FITCH helped Dhamani rethink and define the brand. With Dhamani input, the consultants developed brand standards, identified key attributes to create emotional links with the customer, and defined brand commitments (see **Exhibit 7**). Advertisements based on a consistent “tone of voice” were also specified. FITCH developed a brand map to clarify branding across business lines (see **Exhibit 8**), distinguished between target clients for retail and non-retail (see **Exhibit 9**), and developed a list of aspirational competitors (see **Exhibit 10**).

Armed with more clarity around the brand and the company’s vision, in 2007, Amit found a management consultant to help formalize company processes. “He helped us develop everything—key performance indicators, a balanced scorecard, Six Sigma, management meeting agendas, and projections,” said Amit. “The work he did for us was a bit ahead of where we were at the time, but we wanted to build the capabilities we would need in the future.” The Dhamani family started having management meetings and discussing how it wanted to run the business in the future. “Our office didn’t have a big enough room for all of us to meet, so we rented space for monthly management meetings to make sure we were all on the same page,” recalled Amit.

Upgrading the Corporate Offices

As they embarked on upgrading the brand, the Dhamani family also decided to move into higher-end office space and leave their location above their first souk store. The family selected new office space in the 63-story Almas Tower in the Jumeirah Lake Towers Free Zone, allowing them to take advantage of the free-trade-zone benefits for the first time. They then turned to a Parisian designer to shape the space. “We needed first-class offices because we wanted our people to live the brand internally and externally,” said Amit. Dhamani moved into the new headquarters at the end of 2011.

The new corporate offices offered a series of distinct sales rooms that were designed to make various types of high-net-worth clients comfortable when they came to the Dhamani offices. These clients did not purchase jewelry already for sale in the Dhamani stores but instead ordered custom jewelry. One of the larger rooms was designed for families, another for clients more comfortable in a business setting, and one for customers more comfortable in a relaxed living room setting. All had custom lighting for viewing jewelry. In addition, a sales room of much simpler design was used for meeting with wholesale clients. While finishing the new office space, Dhamani simultaneously opened a 4,000-square-foot diamond jewelry factory in the same office park for high-end custom jewelry. The factory’s first piece of jewelry manufactured in its new factory was a 600-carat, \$4 million diamond necklace (see **Exhibit 5** for samples of Dhamani’s jewelry designs). “It was our

second in-house factory,” said Preeti, “Our other is in Bangkok. We also source from factories in Paris, Italy, Beirut, and the Far East.”

The office design was also driven by the family relationships at Dhamani. Each husband-wife team had an office designed to their preferences with desks in the same office. “Wives arrive in the morning and try to leave at 3:30 p.m. to get home in time for when the children get home from school,” said Nupur. “It’s very much a team environment where husbands and wives can share ideas and use each other as a sounding board. Also, with this setup, both spouses understand the pressures going on from day to day at work,” Amit explained. The family felt that this unique environment added to the company’s professionalism and built a stronger family structure and example for future generations.

Expanding to Luxury Hotels and Resorts

Even as the family pursued its high-end retail strategy in malls and with custom clients, Dhamani decided to target the high-end tourism market by opening stores in luxury hotels with guest-room rates over \$500 per night. “Everyone said hotel stores don’t move merchandise. We came in with our eyes wide open and a recognition that rents are a fraction of the rents in the malls.” While hotel stores were not in high-traffic areas like mall stores and might only have several visitors per day, the Dhamanis hoped these stores would increase recognition of the Dhamani brand and reinforce its association with luxury to the same tourists who visited the malls. As such, they were viewed as ways to market the brand to the customers they wanted to attract and then to enable referrals to the high-end mall stores if customers wanted to see the full Dhamani line and/or work with a custom designer.

Since many of the high-end hotels were owned by royal families, having space in these properties increased exposure of the brand to the royal families and their friends and business partners, as well as affluent tourists and business travelers. Dhamani opened in the Emirates Tower Hotel in 2012. At the same time, it opened its first store outside of Dubai in neighboring emirate Abu Dhabi at the Emirates Palace Hotel, the official guest palace of the Abu Dhabi government. Amit described the difference between Abu Dhabi and Dubai: “Dubai already had several hundred jewelry stores, so it wasn’t incredibly contentious when we first entered retail in Dubai. There was some grumbling from our wholesale clients, but we didn’t lose any of them. In Abu Dhabi, we knew that there would be more concern since there were far fewer jewelers all going after the same customers. By opening in the hotel store, we were able to enter Abu Dhabi more discreetly than would have been the case if we had opened a store in the main shopping areas near all the other jewelers.”

Dhamani also pursued other planned hotel resorts in the UAE. “We presented to Waldorf Astoria when they were planning to open their first hotels in the UAE,” noted Amit. “Waldorf is very brand conscious. We really had to convince them that we were unique.” During 2013, Dhamani opened three more hotel stores: two on Dubai’s Palm Island, a man-made island shaped like a palm tree and home to a cluster of mega-luxury resorts, and one in the nearby emirate, Ajman. In early 2014, three more hotel stores opened—two more on Palm Island in the Waldorf Astoria and Sofitel, and one in the Royal Opera House in Muscat, Oman. A fourth hotel store was scheduled to open at the Waldorf Astoria in Ras al-Khaimah (an emirate 90 minutes from Dubai). By year-end 2013, Dubai had more than 11 million hotel guests, up nearly 11% from 2012.³⁴ These guests came mostly from Saudi Arabia, India, the U.K., the U.S., Russia, Kuwait, Germany, Oman, and China.

Refining Dhamani's Retail/Wholesale Mix

In 2012, Dhamani had 165 employees. While revenues were equally split between the retail and wholesale businesses, 70% of the executive team's time was dedicated to retail. Retail achieved 35% gross profits while wholesale achieved 15%. The family continued closing stores that no longer fit with the evolving, upmarket brand, but six Dhamani souk stores remained in the portfolio, although it was expected that more would be closed when their respective leases expired. (See **Exhibit 11** for a list of Dhamani stores in 2014.)

As Dhamani's retail business evolved, some retail customers stopped buying wholesale from Dhamani. "Even though we lost some business as we kept expanding our high-end mall stores, the majority of our wholesale clients understand that we're competing in the high-end luxury segment, so we are not directly competing with most of them," Amit remarked. Though Dhamani did supply some of the top global jewelers, Amit felt that they were positioning themselves to be able to play in both retail and wholesale. He said, "In retail, there are these top luxury brands and then thousands of smaller jewelers competing with each other. Our Dhamani retail stores are providing a product comparable to the top brands, but with a better personalized touch and a better price without sacrificing quality."

Rohit described balancing a robust wholesale strategy with retail: "We are trying to carve out our own space in the industry—we need to make sure that we aren't copying any of the big five jewelry brands. And we can't copy in our own retail stores what we are selling to our wholesale clients. So when we make our own jewelry, we have to ensure that we have our own sizes, colors, and designs." Since Dhamani often had other brands' early designs to enable it to sell its wholesale clients bulk gemstones, the family needed to be diligent to ensure that they held these designs in strictest confidence. "Sometimes when we are reviewing our own jewelry designs, we see a design that is too close to another brand's design, so we have to change it. We have to be vigilant," said Preeti. "We need to focus closely on what not to do, not just on what to do," opined Rohit.

Hiring and Evaluating Store Employees

Each of Dhamani's mall stores employed about five salespeople—one of whom also filled the role of a store manager. Hotel stores were smaller and attracted fewer walk-in customers, so they employed about three people, including the store manager. Dhamani evaluated its mall and hotel salespeople and store managers on product knowledge, communication skills, selling skills, attitude, and initiative. "Consumer expectations are high, and we have to give our store employees lots of guidance," explained Manish. Store employees were trained on gemstones and jewelry trends and were expected to be able to answer sophisticated client questions. Store employees were accountable for collecting data on store visitors, such as which jewelry pieces in which price ranges were tried on, reactions to price, the customer's age, and whether they made the purchase or not and for what reason. Customer nationality was also recorded, which was an important data point for spotting trends. "We're finding that, on the whole, Germans like more gold, the British like less, and the French like intricate designs," said Rohit. "Our wholesale business has helped us build our knowledge of consumer taste and design unique jewelry that can't be found in other high end jewelry stores."

If a transaction was over \$50,000, the store employee was required to call one of the family for approval. The average transaction was roughly \$5,000. "We want to gradually increase our average transaction size so that we are just under the top jewelers. Their average transaction is around \$20,000," said Amit. Approximately 30,000 pieces of jewelry were in retail inventory across the

company, and some of the high-end pieces rotated throughout the stores for different events or to target different clients.

Segmenting the Market

All of the high-value pieces (jewelry with a price of over \$20,000) that were sold in Dhamani's mall and hotel stores were designed in-house, and 90% of all Dhamani jewelry was designed by exclusive Dhamani designers. "For our high-net-worth clients who come to us with custom designs, we take an advance from them and work with one of our exclusive Italian, French, or Lebanese designers to make their pieces, which can take three or four months," explained Manish. The remaining 10% of Dhamani jewelry that was not designed in-house or by exclusive Dhamani designers was designed by high-end manufacturers who certified that the designs were one of a kind. Manish said, "We started buying jewelry designed by the same manufacturers that designed for the big brands to sell under the Dhamani brand, because we can't do everything—we can't ask our Spanish designers to think like Germans. We need to appeal to a multinational clientele."

Amit explained that, while many of Dhamani's designs were unique and targeted toward high-end customers, the Dhamani brand did not yet generate the same markup when sold in Dhamani's high-end mall/hotel stores in Dubai. "Today, we would not be able to introduce a design like Cartier's *Panthère* or Bulgari's *Serpenti* and generate the market excitement that they do. That's where the biggest markups come in. Our brand isn't there yet," Manish acknowledged. "We have begun to work with a jewelry design consultant to provide Dhamani with a signature style, so that when you look at a piece of our high-end Dhamani jewelry, you will immediately know it's ours. We did this for our jewelry that includes our Dubai Cut Diamond designs, and we want to achieve this same distinction across all of our ultra-high-end jewelry."

Customers of distinct profiles patronized different Dhamani stores. "For example, in our Gold Souk stores, customers are looking for pieces that generally sell for \$500 to \$20,000 and are often designed by high-end manufacturers that manufacture for other jewelry brands. Our Emirates Tower Hotel store carries 480 pieces that range in price from \$3,000 to \$500,000, but we know the best-selling items are from \$15,000 to \$50,000," explained Manish. "We keep detailed information on customer traffic and profiles in every store to help us stock our stores with the best-designed pieces for that location."

The Dhamanis were also testing a new jewelry brand that they could begin selling in other retailers' stores. The brand, called Laviere of London, was registered in London and would be sold only to high-end retail customers. It would not be sold in Dhamani stores. "The retailers that carry our new Laviere of London brand should be neighbors to the Van Cleefs or Cartiers of the world," said Manish. Priya noted, "The idea was to use our procurement strength, which is emeralds, rubies, and sapphires—we call it the colors of luxury—as the centerpieces for the new brand that would be sold in luxury retail stores in Western markets." Preeti added, "Colored gemstone collections are difficult to match because they can vary widely by region—you have to source and restock the whole collection from the same region—it can be a lot of work. But we're suited for it." The new brand would be 80% classical. "We're not selling fashion designs with our Laviere of London brand," Preeti said. The family also believed that this new brand would help them learn more about customer tastes in high-end Western markets, such as London, New York, and Hong Kong, as they began their quest to become a global luxury brand with the launch of Dhamani 1969.

Becoming a Global Luxury Brand

Even as Dhamani was expanding the reach of its retail brand in Dubai, the family had also begun to consider how to sequence the actions that would need to be taken to achieve their new strategic vision to become an iconic global luxury jewelry brand. Amit explained, “We didn’t want to go global with our current retail brand and be just another jeweler. First, we needed a more interesting store design and ultra-high-end unique jewelry design. With the launch of our exclusive Dubai Cut Diamond and our move to new corporate headquarters, our customer profile had already begun to change—we were attracting the royals and the super-rich. These were people who wanted to spend \$100,000 to \$500,000, and they need a different environment within which to shop. We decided it was time to hire the gurus of the design world for both our jewelry designs and our retail store design to go after the ultra-rich.”

At the end of 2012, Dhamani met with Callison, a design firm based in Seattle, Washington, that had worked to design the retail stores and shopping experience for Apple, Tiffany & Co., and Bloomingdales. Dave Scurlock, a principal at Callison, said that they established a “modern glamour” design direction for Dhamani, reflecting the classic luxury and “timelessness of the Dhamani artistry.” The Dhamanis took the same approach when working with Callison as they did in working with FITCH. “While one of the brothers could take a strong stance, in the end, we all had to move forward together,” said Amit.

The first store to be opened using the Callison design was a new 1,700-square-foot flagship store at Dubai Mall under the name Dhamani 1969. This new store would replace the current Dhamani store in the Dubai Mall within the same hall that housed the Cartier and Bulgari stores. The name evoked the deep tradition of Dhamani as an expert provider of the highest-quality gemstones and jewelry. The Dhamani 1969 retail store was based on an art gallery concept where clients were free to admire the displayed jewelry on their own and receive expert advice and service when needed. The sales experts in Dhamani 1969 would fill a role similar to the consultants in an art gallery who could not just sell an existing piece but also work with the client to discuss how to achieve the experience they wished by owning a piece of Dhamani’s artistic and unique jewelry—by buying an existing piece or commissioning a new one.

The build-out would cost \$2.5 million. For execution, Callison insisted on hiring the same company who had done Cartier’s retail store build-outs. “In designing stores of this caliber, there’s no real economy of scale in opening new Dhamani 1969 stores in other locations,” admitted Amit. After the first store, Callison would charge a design fee to roll out the concept in each new location—just as they did with other high-end customers, like Cartier. “It’s expensive,” said Amit, “but they’ll be able to adapt each rollout of a new Dhamani 1969 store exactly the way we want it. As a result, the design will be true to our unique brand, but it may be different on High Street in London than in the Dubai Mall.” Amit recognized that “it’s a blessing that the family has the capital to deploy on these kinds of projects.”

There were other trade-offs when working with a renowned design firm, Amit noted: “They will not let you do everything you like, because their name is behind it, and they are very conscious of that. Even the wallpaper they chose for us had to be done by an artist in Canada. They won’t allow anything mediocre.” Dhamani 1969 stores were projected to have an average sale of \$20,000, and the jewelry would carry fixed prices, something that Dhamani had never done before. “No one at the souk has fixed prices on their jewelry, and we allowed the store personnel in our mall and hotel/resort stores to have some flexibility on the price. But most of the iconic luxury jewelry houses have fixed prices for their pieces,” said Amit.

Plans for the Future

As Dhamani 1969 progressed from vision to reality, the family began to debate several options for the next steps in becoming a global iconic brand. “Our near-term strategy is to successfully launch the Dhamani 1969 concept in the Dubai Mall,” Amit explained. “This pilot will enable us to refine the concept and ensure that the business model has been proven before transitioning to growth.” After proving the concept in Dubai, the family had originally planned to open a new 1,700- to 1,800-square-foot Dhamani 1969 store in a high-end mall in Qatar as a pilot to test the concept of expanding the brand in the GCC.⁸ “Qatar malls have less foot traffic than Dubai malls, but it is one of the richest countries in the world,” Amit said. “We estimate 20% less in rent and operating costs than in Dubai, but also much higher revenues.”

While the family had already selected a location in Qatar, more recently some had questioned whether they should delay their plans for regional expansion in the GCC and move directly to expand outside the region. Two proposals had emerged. One option was to locate first in an Asian market that served as a global business hub—for example, Singapore or Hong Kong. “Then we would come to London,” said Amit. “If you have a store in London, you are in the high-end luxury league.” The second proposal would be to skip Singapore or Hong Kong and move directly to London. “Should we spend the money and time to open a store in Qatar, Singapore, or Hong Kong? Would these stores provide us with the knowledge and insights we need to open in London, or, once we test the concept in Dubai, should we immediately expand to London?” Amit continued.

Another option that the Dhamani family was considering was whether to open a second Dhamani 1969 retail store in the new ultra-chic Nakheel Mall that was opening on Palm Island. This would enable them to test another location in Dubai at the same time that they were expanding in the GCC region, to a global business hub in Asia, or to London. The family believed that the value of this approach would be that, by opening in the new high-end Nakheel Mall, they would have a second Dhamani 1969 that was close to the ultra-high-end hotels and resorts on Palm Island. “We see the hotel/resort stores as feeder stores for our mall stores,” Manish and Priya explained. Amit noted that “in the future, we are considering offering an incentive bonus to salespeople in all of the company’s hotel/resort and traditional mall stores for referring a client to Dhamani 1969.” Amit explained:

To gain the incentive bonus, the employee would need to call the Dhamani 1969 store manager and let him or her know that a client is coming to the store. They would also need to arrange for a limousine to take the client to the Dhamani 1969 store and, if possible, accompany the client. Finally, the client would need to make a purchase above a certain amount. For example, if a client bought \$100,000 worth of jewelry the Dhamani 1969 store employee that referred the client would get half of the incentive bonus for the sale. We are considering announcing this as a special promotion to help boost the Dhamani 1969 brand. We will evaluate whether to continue the promotion once the brand has become established in Dubai. When we launch Dhamani 1969 in markets outside Dubai, we do not plan to launch our traditional mall stores or hotel/resort stores so the incentive bonus would not be applicable in other global markets.

The Dhamani family was also considering whether to exit any of its traditional businesses. The family had already agreed that it would close all of its souk stores as the leases on the building expired within the next year or two. But the family planned to stay in the wholesale business, which enabled them to stay abreast of the global jewel industry while also balancing the cyclicity of its

⁸ The Gulf Cooperation Council (GCC) included Bahrain, Kuwait, Oman, Qatar, UAE, and Saudi Arabia.

retail businesses. In the future, however, the family wished to increase its retail revenues from 50% to 70% of total revenues. “Without wholesale, we could never have achieved any of this,” Rohit explained. “Wholesale provided the foundation upon which we have evolved the business, and we believe it will continue to support our future growth.”

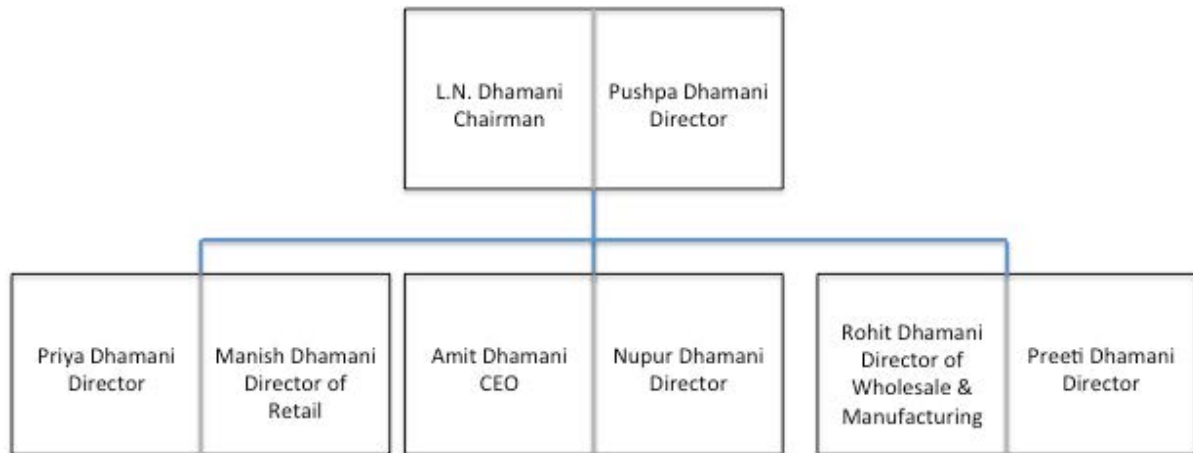
As the Dhamani family counted the days to the launch of the Dhamani 1969 store in the Dubai Mall, they thought back to how their family business had evolved and felt proud of all they had accomplished. They were especially proud of the how the extended family had worked together to build the business while they also built their individual lives and families.

As they looked ahead, however, they wondered what changes would be needed if their vision succeeded. “When we established our first global office in Bangkok, the second generation and their wives had lived in Bangkok, while our parents continued to live in Jaipur,” Amit explained. “But once we decided to open our retail operations in Dubai, the entire family moved to Dubai so that we could live and work together.” If the new vision succeeded, what changes would be needed to the organization and to the family’s ability to live and work together?

Finally, while the family had the capital needed to launch Dhamani 1969 in the Dubai Mall and the two new Dhamani 1969 stores planned in Qatar and in the Nakheel Mall on Palm Island, the family also knew that the decision to embark on the journey to becoming a global luxury brand would mean that new sources of capital would be needed in the future. (See **Exhibits 12a, 12b, and 12c** for a comparison of financial projections for hotel and mall stores and for the new Dhamani 1969 store.) Amit explained:

Over the years, our family business grew through a series of inflection points as we continually searched for new opportunities. Prior to each inflection, we laid the foundation through a series of incremental changes. We didn’t always know exactly how each new opportunity would play out when we started, but we learned quickly and adapted our plans to fit with what we were learning. We also knew that we needed to keep looking ahead at what was changing and to work together as a family and with the help of consultants and advisors to understand how these changes and trends could influence our vision and long-term goals for the company. As we made sense of industry and global trends, we picked specific nearer-term strategic targets to aim for and then defined the specific actions we would take to achieve our near-term strategies, testing our assumptions and learning along the way.

We believe that Dhamani is at another inflection point and we have the capital, the capabilities, and the will to begin testing our assumptions while we lay the foundation for our vision to become a global luxury brand. In the future, we expect to bring in outside investors to help us achieve our vision, but first, we want to test our assumptions, refine our business model, and achieve a track record. We want to closely nurture our business as a family before we bring in outsiders who don’t share our vision and our commitment to moving together as family. We are reluctant to bring in investors at this point whose motivations and interests are much different than ours. So, for now, we will rely heavily on trusted advisors and consultants but will retain ownership as a family, and we are all excited to be embarking on another exciting adventure.

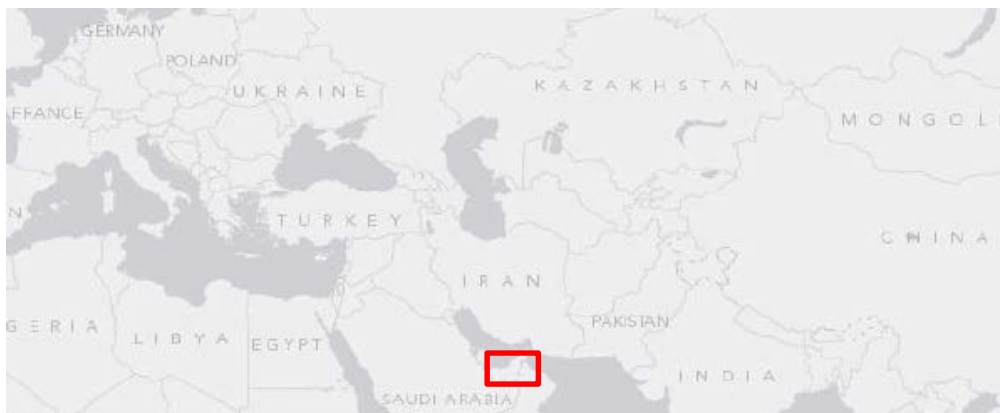
Exhibit 1 Dhamani Organizational Chart

Source: Compiled by casewriter from interviews and company documents.

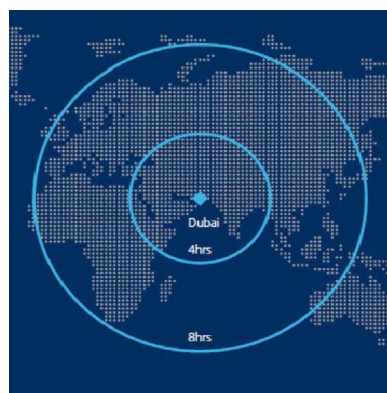
Exhibit 2 Jewelry Supply Chain and Dhamani's Estimated 2014 Operating Margins

Source: Compiled by casewriter from interviews and company documents.

Note: Dhamani participated in the supply chain from rough gemstone sales to jewelry retail sales in colored gemstones, but only from cutting and polishing to jewelry retail sales in diamonds.

Exhibit 3 Dubai: Geographic Positioning

Note: Red boxes depict the location of Dubai.



1/3 of the world's population lives within a 4-hour flight of Dubai;
2/3 live within an 8-hour flight.

Source: "United Arab Emirates," CIA World Factbook, <https://www.cia.gov/library/publications/the-world-factbook/geos/ae.html>; WorldMap, Center for Geographic Analysis, Harvard University, <http://worldmap.harvard.edu/>; and http://www.dubaiairport.com/en/media-centre/Documents/Dubai%20Airports%20Brochure_front%20FINAL.pdf, pp. 14-15, all accessed April 2014.

Exhibit 4a Early Dhamani Retail Stores in Dubai Souks, 2000 and 2004**Exhibit 4b** Dhamani Retail Stores in 2008: Dubai Mall Store (left) and Dubai Mall Souk (right)**Exhibit 4c** Mall of Emirates Store in 2008 (left) and Newly Renovated Store in 2014 (right)

Source: Company documents.

Exhibit 5 Dhamani-Designed Dubai Cut Diamond Ring (top) and High-End Jewelry (bottom)

Source: Company documents.

Exhibit 6 Top Luxury Brands according to Interbrand, 2008 and 2013

Rank 2008	Rank 2013	Brand Name	Country of Origin	Brand Value (\$m) 2008	Brand Value (\$m) 2013
1	1	Louis Vuitton	France	21,602	24,893
2	2	Gucci	Italy	8,254	10,151
3	N/A	Chanel	France	6,355	N/A
4	N/A	Rolex	Switzerland	4,956	N/A
5	3	Hermès	France	4,575	7,616
6	4	Cartier	France	4,236	6,897
7	6	Tiffany & Co.	USA	4,208	5,440
8	5	Prada	Italy	3,585	5,570
9	8	Ferrari	Italy	3,527	4,013
10	N/A	Bulgari	Italy	3,330	N/A
11	7	Burberry	UK	3,285	5,189

Source: Compiled from “The Leading Luxury Brands 2008,” Interbrand, http://www.interbrand.com/Libraries/Branding_Studies/The_Leading_Luxury_Brands_2008.sflb.ashx; and “Best Luxury 4Brands,” Interbrand, 2013, <http://www.interbrand.com/en/best-global-brands/2013/sector-overviews/luxury-2013.aspx>; all accessed May 2014.

Note: Brand value was calculated based on profit, demand, and competitive analyses.

Exhibit 7 FITCH Deliverables: Dhamani Brand Standards, Brand DNA, and Key Commitments, 2007**Brand Standards**

- **Quality:** The gems and workmanship are of the highest quality. Sourced and crafted by Dhamani, the quality of workmanship is controlled by the company.
- **Variety:** Dhamani is not specialized in one gem. This is a point of difference when compared to the competition.
- **Range:** The range is between middle-tier and bespoke pieces including diamonds, rubies, sapphires, emeralds, pearls, and men's watches.
- **Knowledge:** Dhamani is deeply knowledgeable and understanding of the physical, emotional, and cultural qualities of jewels.

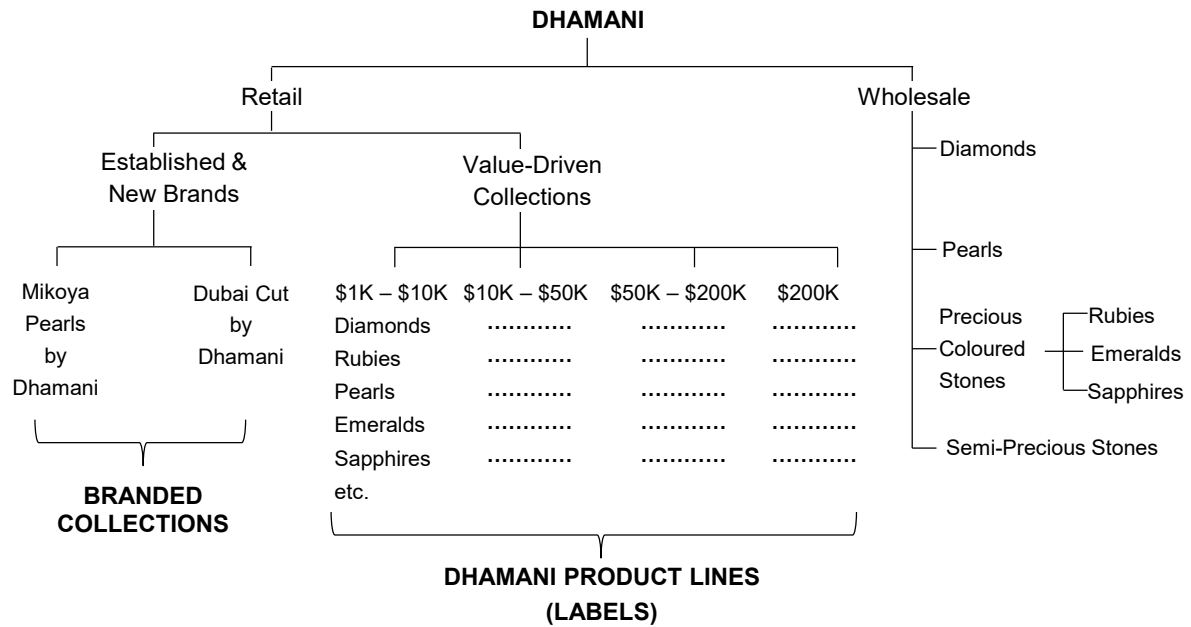
DNA

- Dhamani is a brand steeped in history; *I can trust them.*
- Dhamani is a brand of timeless elegance and style; *They know jewelry.*
- The brand exudes the sensual appeal of the East; *It's not mass market.*
- It is a mark of individuality and personalization; *I am different.*
- Dhamani jewelry is an investment for life; *I am safe.*
- It is a leader in quality product and knowledge; *Dhamani is an authority – I believe them.*

Key Commitments

- To be an instantly recognizable retail brand prevalent in major malls and retail areas around the world.
- To align the Dhamani name with elegance, trust, investment, status, quality, knowledge, longevity, and taste.
- To be one of the most exclusive jewelry brands in the world.
- To be regarded as a respected knowledge base in the industry worldwide.
- To develop distinctive designs synonymous with Dhamani's quality.
- To provide bespoke and haute couture products relevant to our customers and clients.

Source: Company documents.

Exhibit 8 Brand Map

Source: Company documents.

Note: Dotted lines represent the repetition of the vertical list of diamonds, rubies, pearls, emeralds, sapphires, etc.

Exhibit 9 Aspirational Target Clients**Non-retail**

- Very high net worth individuals
- Exclusive jewelers

Retail

- 10% niche, high-profile, established: customer is extremely wealthy and has particular bespoke requirements. Already established, deep trust and understanding of the brand.
- 20% high-end walk-in: customer knows about the products and is a seasoned gems / stones buyer. Repeat customer to the Dhamani brand.
- 70% middle-tier walk-in: customer is affluent but does not know the product. First time introduction to the Dhamani brand. Of the middle-tier customers, 20% are repeat customers.

Source: Company documents.

Exhibit 10a Aspirational Competitors as Identified by FITCH and Magnitude of Sales

	Year opened	No. Stores	Locations	Sales
	1960	35	Europe, USA, the Middle East, and Asia	\$624 million (2011 estimate)
	1888	34	Europe, Americas, Asia, Middle East	\$157 million (2012 figures)
	1847	300	125 countries; flagship stores in Paris, London, and New York	\$4.1 billion (2012 estimate)
	1884	259	Europe, Americas, Middle East, Australia, Asia, Australia	\$1.52 billion (2008 estimate)

Source: Company documents; "De Beers Diamond Jewellers," via Capital IQ; "Cartier," *Encyclopedia of Global Brands*, 2nd Ed., via Cengage Learning; "Bulgari," *International Directory of Company Histories*, Volume 106, via Cengage Learning, all accessed May 2014.

Note: LVMH was the parent company of Bulgari, and LVMH also had a joint venture with De Beers.

Exhibit 10b Revenues and Operating Profits of Select Luxury Jewelry Brands, 2013

	Richemont (Jewelry Maisons) ¹	Tiffany & Co. ²	LVMH (Watches & Jewelry) ³
(USD millions)			
Revenue	\$6,707	\$3,794	\$3,587
Operating profit	\$2,342	\$697	\$483
Operating margin	35%	18%	14%

Source: Compiled from Richemont Annual Report FY 2014, <http://www.richemont.com/investor-relations/reports>; Tiffany & Co. Annual Report, <http://investor.tiffany.com/annuals.cfm>; and LVMH Annual Report 2013, http://www.lvmh.com/comfi/ra_2013_en/lvmh_ra_2013/business_review/index.html, all accessed July 2014.

Notes: (1) Compagnie Financiere Richemont owns several luxury jewelry houses, such as Cartier and Van Cleef & Arpels. Cartier has 150 boutiques and Van Cleef & Arpels has 104.

(2) Of Tiffany & Co.'s total sales in 2013, 92% represented jewelry. Tiffany & Co. operated five retail stores in the UAE, which represented less than 1% of its worldwide net sales in 2013. Sales by gross square foot worldwide were approximately \$3,100.

(3) LVMH owns several luxury jewelry houses, e.g., Chaumet and Bulgari, and has a partnership with De Beers.

Exhibit 11 Dhamani Stores as of March 2014

Souk Stores	Location	Year Opened	Sq. Ft.
Souk 1	Dubai	2000	300 - 400
Souk 2	Dubai	2004	300 - 400
Souk 3	Dubai	2004	300 - 400
Gold & Diamond Park 1	Dubai	2004	300 - 400
Gold & Diamond Park 2	Dubai	2007	300 - 400
Dubai Mall – Souk	Dubai	2008	300 - 400
Mall Stores	Location	Year Opened	Sq. Ft.
Mall of the Emirates	Dubai	2005	800
Dubai Mall (Closed. Reopening as Dhamani 1969)	Dubai	2008	1,700
Mirdif Centre	Dubai	2010	800
Hotel/Resort Stores	Location	Year Opened	Sq. Ft.
Emirates Towers Hotel	Dubai	2012	400
Emirates Palace Hotel	Abu Dhabi	2012	400
Anantara Resort - Palm Island	Dubai	2013	400
Kempinski Resort – Palm Island	Dubai	2013	400
Ajman Palace Hotel	Ajman	2013	400
Waldorf Astoria Resort	Ras al-Khaimah	2014	800
Opening in 2014			
Dhamani 1969 – Dubai Mall	Dubai	2014	1,700
Waldorf Astoria Resort – Palm Island	Dubai	2014	300 - 400
Sofitel Resort – Palm Island	Dubai	2014	300 - 400
Opera House	Oman	2014	800 - 900
Planned Projects			
Dhamani 1969	Qatar	2016	1,700 – 1,800
Dhamani 1969, Nakheel Mall – Palm Island	Dubai	2017	1,700

Source: Company documents.

Exhibit 12a Financial Forecast for Established Mall Stores (per store), 2014

(\$thousands)	Best Case	Profit Margins	Base Case	Profit Margins	Worst Case	Profit Margins
Revenue	6,500.00	100.00%	4,000.00	100.00%	2,000.00	100.00%
Cost of Goods Sold	4,225.00		2,600.00		1,300.00	
Gross Profit	2,275.00	^A 35.00%	1,400.00	35.00%	700	35.00%
Operating Costs						
Marketing	220		220		220	
Staff	77.5		77.5		77.5	
Other Variable Costs	60		60		60	
Rent	180		180		180	
Total Operating Costs	537.5		537.5		537.5	
Operating Profit	1,737.50	^B 26.73%	862.50	21.56%	162.5	8.13%
Cost of Capital	250		250		250	
Depreciation (on décor)	57		57		57	
Net Profit	1,430.50	^C 22.01%	555.5	13.89%	-144.5	-7.23%

Source: Company documents.

- Notes: (1) Variable costs include 1% sales incentive. (4) 1,300 customers per store, per year, in “Best Case.”
- (2) Rent is for 800-square-foot store. (5) Average transaction of \$5,000.
- (3) Store décor depreciated over five years. (6) Inventory of \$5,000,000.

Exhibit 12b Financial Forecast for Established Hotel/Resort Stores (per store), 2014

(\$thousands)	Best Case	Profit Margins	Base Case	Profit Margins	Worst Case	Profit Margins
Revenue	3,000.00	100.00%	1,800.00	100.00%	1,000.00	100.00%
Cost of Goods Sold	1,950.00		1,170.00		650	
Gross Profit	1,050.00	^A 35.00%	630	35.00%	350	35.00%
Operating Costs						
Marketing	110		110		110	
Staff	77.5		77.5		77.5	
Other Variable Costs	30		30		30	
Rent	120		120		120	
Total Operating Costs	337.5		337.5		337.5	
Operating Profit	712.50	^B 23.75%	-967.5	-53.75%	12.5	1.25%
Cost of Capital	150		150		150	
Depreciation (on décor)	30		30		30	
Net Profit	532.5	^C 17.75%	112.5	6.25%	-167.5	-16.75%

Source: Company documents.

- Notes: (1) Variable costs include 1% sales incentive. (4) 600 customers per store, per year, in “Best Case.”
- (2) Rent is for 300-square-foot store. (5) Average transaction of \$5,000.
- (3) Store décor depreciated over five years. (6) Inventory of \$3,000,000.

Exhibit 12c Financial Forecast for New Concept: “Dhamani 1969” Store, 2014

(\$thousands)	Best Case	Profit Margins	Base Case	Profit Margins	Worst Case	Profit Margins
Revenue	15,000.00	100.00%	10,000.00	100.00%	6,000.00	100.00%
Cost of Goods Sold	8,550.00		5,700.00		3,420.00	
Gross Profit	\$6,450.00	^A 43.00%	\$4,300.00	43.00%	\$2,580.00	43.00%
Operating Costs						
Marketing	435		435		435	
Staff	222.6		222.6		222.6	
Other Variable Costs	157.4		157.4		157.4	
Rent	450		450		450	
Total Operating Costs	\$1,265.00		\$1,265.00		\$1,265.00	
Operating Profit	\$5,185.00	^B 34.57%	\$3,035.00	30.35%	\$1,315.00	21.92%
Cost of Capital	750		750		750	
Depreciation (on décor)	500		500		500	
Net Profit	\$3,935.00	^C 26.23%	\$1,785.00	17.85%	\$65.00	1.08%

Source: Company documents.

Notes: (1) Variable costs include 1% sales incentive. (2) Rent is for 1,700-square-foot store.
 (3) Store décor depreciated over five years. (4) 750 customers per store, per year, in “Best Case.”
 (5) Average transaction of \$20,000. (6) Inventory of \$15,000,000.
 Profit margins: A = Gross Profit / Revenues; B = Operating Profit/Revenues; C = Net Profit / Revenues

Endnotes

- ¹ Kimiko De Freytas-Tamura, "An Indian Jewelry Tradition Comes Under Threat," *New York Times*, March 18, 2013, http://www.nytimes.com/2013/03/18/fashion/in-jaipur-an-indian-jewelry-tradition-faces-market-forces-and-new-competitors.html?_r=0, accessed March 2014.
- ² De Freytas-Tamura, "An Indian Jewelry Tradition Comes Under Threat."
- ³ "Frequently Asked Questions," Gemological Institute of America (GIA), <http://www.gia.edu/gia-faq-analysis-gradinggrading-report-colored-stone>, accessed April 2014.
- ⁴ Alison Williams, "Hotel that is height of luxury," *Coventry Telegraph*, December 21, 2000, via Factiva, accessed May 2014; and Burj Al Arab Media Fact File, "Burj Al Arab –The World's Most Luxurious Hotel," Jumeirah, [http://www.jumeirah.com/Global/Jumeirah%20Group/Press%20Centre%20\(1\)/Press%20Kits/Burj%20Al%20Arab%20-%20Media%20Fact%20File.pdf](http://www.jumeirah.com/Global/Jumeirah%20Group/Press%20Centre%20(1)/Press%20Kits/Burj%20Al%20Arab%20-%20Media%20Fact%20File.pdf), accessed April 2014.
- ⁵ "International Jewellery Dubai moving to new venue in 2002," Middle East Company News, October 23, 2001, via Factiva, accessed May 2014.
- ⁶ Joseph Aboud, "Dubai in drive to lure foreign gold jewelry manufacturers," *AMM*, December 4, 2000, via Factiva, accessed May 2014.
- ⁷ Sami Aboudi, "Dubai offers 100 pct foreign ownership at gold park," Reuters, October 1, 2000, via Factiva, accessed May 2014; and Janet Matthews, "United Arab Emirates –Country Profile," *Middle East Review World of Information*, "September 28, 2000, via Factiva, accessed May 2014.
- ⁸ Rym Ghazal, "Story of Dubai starts in Deira," *The National*, July 18, 2012, <http://www.thenational.ae/news/uae-news/heritage/story-of-dubai-starts-in-deira>, accessed April 2014.
- ⁹ Andrew Hammond, "'Shop-'til-you-drop' culture propels Dubai retail," Reuters, February 20, 2005, via Factiva, accessed May 2014.
- ¹⁰ Mohammed N Al Khan, "Al Maktoum Street: Iconic avenue," *Gulf News*, July 9, 2010, <http://gulfnews.com/news/gulf/uae/al-maktoum-street-iconic-avenue-1.652003>, accessed April 2014.
- ¹¹ "Number of Dubai Hotel & Hotel Apartment Guests & Guest Nights," Department of Tourism and Commerce Marketing, Government of Dubai, http://www.dubaitourism.ae/sites/default/files/hotelstat/2003-2012_Guests_Guest_Nights.pdf, accessed May 2014.
- ¹² "Travel and Tourism in the United Arab Emirates," Euromonitor International, October 2013, via Passport.
- ¹³ Aya Lowe, "Mirdif City Centre in Dubai opens to the public," *Gulfnews.com*, March 16, 2010, <http://gulfnews.com/mirdif-city-centre-in-dubai-opens-to-the-public-1.598537>, accessed May 2014.
- ¹⁴ "Newsletter: Is the GCC Retail Rush Over?" Middle East Council of Shopping Centers, February 2009, http://www.mecsc.org/newsletter/nledt_view.php?id=195, accessed May 2014.
- ¹⁵ Andrew England and Simeon Kerr, "Retailers counter tougher times," *Financial Times*, October 6, 2010, <http://www.ft.com/intl/cms/s/0/26dac282-d16b-11df-96d1-00144feabdc0.html#axzz32Nr4gYrg>, accessed May 2014.
- ¹⁶ Ed Attwood, "Emaar's Dubai Mall posts 27% rise in footfall in 2010," *ArabianBusiness.com*, April 24, 2011, http://www.arabianbusiness.com/emaar-s-dubai-mall-posts-27-rise-in-footfall-in-2010-395794.html#.U30CX_IdX94, accessed May 2014.
- ¹⁷ "Population Bulletin Emirate of Dubai – 2009," Government of Dubai, Dubai Statistics Center, <http://www.dsc.gov.ae/Publication/English%20Population.pdf>, accessed May 2014.
- ¹⁸ Shashank Shekhar, "Dubai to have highest per capita retail space," *Emirates 24|7*, April 13, 2009, <http://www.emirates247.com/eb247/companies-markets/retail/dubai-to-have-highest-per-capita-retail-space-2009-04-13-1.96888>, accessed May 2014.
- ¹⁹ Shekhar, "Dubai to have highest per capita retail space."
- ²⁰ "Newsletter: Is the GCC Retail Rush Over?" Middle East Council of Shopping Centers.

- ²¹ Rory Jones, "Bargains abound in Dubai shop rents," *The National*, November 27, 2011, <http://www.thenational.ae/business/retail/bargains-abound-in-dubai-shop-rents>, accessed May 2014.
- ²² Jones, "Bargains abound in Dubai shop rents."
- ²³ "Mirdif City Centre," Majid Al Futtaim, <http://www.majidalfuttaim.com/en/article/majid-al-futtaim-properties/shopping-malls/mirdif-city-centre.html>, accessed May 2014.
- ²⁴ "Dhamani launches 'Dubai Cut' jewelry line," *National Jewelers Network*, December 28, 2006, via Factiva, accessed May 2014.
- ²⁵ "The Global Diamond Industry: Lifting the Veil of Mystery," Bain & Company, 2011, http://www.bain.com/Images/PR_BAIN_REPORT_The_global_diamond_industry.pdf, accessed May 2014.
- ²⁶ "The Leading Luxury Brands," Interbrand, 2008, http://www.interbrand.com/Libraries/Branding_Studies/The_Leading_Luxury_Brands_2008.sflb.ashx, accessed May 2014.
- ²⁷ "The Leading Luxury Brands," Interbrand.
- ²⁸ "The Leading Luxury Brands," Interbrand.
- ²⁹ "The Global Diamond Industry," Bain & Company.
- ³⁰ "The Global Diamond Industry," Bain & Company.
- ³¹ Saifur Rahman, "Dubai gold trade soars 53%," *Gulfnews.com*, February 9, 2009, <http://gulfnews.com/business/markets/dubai-gold-trade-soars-53-1.50870>, accessed May 2014.
- ³² Claire Adler, "Diamonds: Experts in search of better customer relations," *Financial Times*, March 20, 2011, <http://www.ft.com/intl/cms/s/0/eee514f2-54e3-11e0-96f3-00144feab49a.html?siteedition=uk#axzz32vTQKvvD>, accessed May 2014.
- ³³ Adler, "Diamonds: Experts in search of better customer relations."
- ³⁴ "Dubai hotels welcome over 11 million guests in 2013," March 5, 2014, *Dubai Chronicle*, <http://www.dubaichronicle.com/2014/03/05/dubai-hotels-welcome-11-million-guests/>, accessed May 2014.